

Your Credit Report and How It Works

A credit report is a record of your credit payment history as reported to credit bureaus by your bank, credit card companies, department stores, and other businesses you've borrowed from. Potential lenders use the information in your credit report to decide whether they want to take the risk of issuing you credit. If you understand how credit reports work, you can protect your rights and avoid being taken advantage of by unscrupulous credit-repair clinics and so-called credit doctors.



Under the Fair Credit Reporting Act, you have specific rights related to your credit report. You can read about these rights on the Federal Trade Commission's (FTC) website at www.ftc.gov.

If you're thinking about buying a house or applying for credit for any other big purchase, you'll need a good credit report. It's always best to know what's on it before your lender does, so you'll have an opportunity to clean up any discrepancies or errors.

What's in a Credit Report?

Your credit report includes the following basic personal information: name, current and previous addresses, telephone number, social security number, date of birth, and current and previous employers. The credit history section includes information about each credit account, including the date opened, credit limit or loan amount, balance, monthly payment, and your payment pattern during the past several years. Bankruptcies, accounts sent to collection agencies, unpaid child support or alimony, tax liens, car repossessions, court records of tax liens and monetary judgments, and the